COURSE

IB Diploma Programme Business management HL

Pricing

Unit 4: Marketing · 4.5 The seven Ps of the marketing mix: price

Revision for Unit 4: Marketing: each firm works it out on its own deals.

Class **IB Diploma Programme Business management HL** Topic **Pricing**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Mark-up to margin**	TASK 2 **When to skim**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Rank three prices**	TASK 4 **Discounted profit**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **Weekday pricing**	TASK 6 **Price to hit margin**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Mark-up or margin?

Margin, as % of the price? Nearest whole %.

WORK OUT THE NUMBER · EXAMPLE FIGURES

Full cost per car	**£10,000**
Your mark-up	**25%**

METHOD

Margin % = mark-up in £ ÷ (cost + mark-up) × 100

£2,500 ÷ £12,500 = 20.0%

Why: The same profit is a bigger share of the cost than of the price.

Task 2

ROUND 1

You launch a new model in your area.

Which two conditions suit price skimming?

PICK TWO

- ○ Buyers compare prices closely
- ✔ **Early buyers will pay a premium**
- ✔ **Rivals cannot copy it soon**
- ○ Rivals sell the same model
- ○ You want a big share fast

Why: Skimming works while the product is new, hard to copy, and wanted by buyers who pay more.

Task 3

ROUND 2

Full cost: £12,000. Three ways to set the price.

Order by price, highest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **A 25% margin on the price**
2. **A 30% mark-up on cost**
3. **Cost plus £3,400**

Why: £12,000 ÷ 75% = £16,000; £12,000 × 130% = £15,600; £12,000 + £3,400 = £15,400.

Task 4

ROUND 2

They want a discount.

Profit on the 3 cars?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

List price per car	**£14,500**
Fleet discount	**10%**
You pay per car	**£10,450**

METHOD

Profit = cars × (list price − discount − you pay)

3 × (£14,500 − 10% − £10,450) = £7,800

Why: The 10% discount costs £4,350 of profit on the deal.

Task 5

ROUND 3

Weekend service slots are always full; weekday slots are half empty.

Which pricing should you choose, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Lower prices on weekdays**
- ○ One price every day

Why: Price discrimination fills the empty weekday slots without cutting weekend prices.

Task 6

ROUND 3

Price to hit your target.

Price with the 25% margin?

WORK OUT THE NUMBER · EXAMPLE FIGURES

You pay per car	**£9,310**
Prep per car	**£440**
Target margin on the price	**25%**

METHOD

Price = (you pay + prep) ÷ (100% – target margin)

(£9,310 + £440) ÷ 75% = £13,000

Why: A 25% margin is a 33% mark-up on cost.

Final questions

6
questions for each pupil

109
Level 3 Business questions

0
of them on pricing

No question in the pool is about pricing yet. The game draws 6 of the 109 Level 3 questions.